

Bajaj Finance Ltd

Investment Rating : Weak

Company Overview

Website	https://www.bajajfinserv.in/
Sector	nan
Market Cap	2,473,271.58 Cr
PE Ratio	69.2
PB Ratio	4.11
Dividend Yield	0.27 %

Financial Quality

ROE	22.1
ROCE	11.9
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	43.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Debt-to-equity ratio of 3.82 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.